I reverted to my old Warburg mode when my brain would have calculated the risk and just done the trade.

Why did you think it was a good risk?

It was up $2 from the close, which was a big move for a stock that didn't move that much. It was just a gut reaction. I came in the next morning and bought the stock back for a $100,000 turn. From that moment on, I couldn't stop making money.

I guess because you got your confidence back. But you still had no order flow to work against, so where was your edge?

I developed very strong relationships with other brokers, so I used their order flow information. I was also trading news flow.

What would determine if you were a buyer or seller after a news item hit?

It was a matter of sampling views of brokers that I trusted. I've always thought that when you are trading over a short to medium term, your own views on the fundamentals of a story are totally irrelevant. What you have to do is gauge what the market thinks of the story. I would sample opinions, and if there were enough people saying that we were going to see buying on the back of the news item, I would go long. If I didn't see momentum develop, I would cut it, and if I did see upward momentum, I might increase the position size. I am a big believer in buying on the way up.

So you were speaking to people who you thought were more right than wrong.

Yes, and they had order flow. That was one element of my trading. I also started to screen for volume. I thought that my trading was good enough so that if I could find volume or a story, I could trade it.

I was trading successfully, and then I read your book [*Market Wizards*]. It was a seminal moment in my trading career. I was reading about people in your book and thinking, *That is what I do. That is one of my rules*. It was like these people had copied what I do. How could they know? It was an awakening because for the first time in my life I realized that I had a method. Up until that point, I thought I was playing a videogame,